UTAH DEPARTMENT OF COMMERCE

Office of Artificial Intelligence Policy

March 14, 2025
National Coordination Office
Networking and Information Technology Research and Development
Attn: Faisal D'Souza
2415 Eisenhower Avenue
Alexandria, VA 22314

RE: [FR Doc. 2025-02305] Public Comment on the Development of an AI Action Plan

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Dear Mr. D'Souza,

Utah's Office of Artificial Intelligence Policy is pleased to share information that may help with the development of a federal AI Action Plan. Utah has taken a pro-innovation approach to AI policy. To further promote innovation in AI deployment, we propose that the federal government create its own regulatory relief sandbox that can apply in combination with state-level sandbox programs, to encourage innovation and the development of novel business models, and empower state regulatory relief programs.

I. Utah's Office of AI Policy takes on an active approach to AI innovation

SB 149 - In 2024, Utah's SB 149, *the Artificial Intelligence Policy Act*, established a framework of integrating innovative AI technologies within the state of Utah.[1] This was one of the first AI-related bills in the nation and embodies Utah's common-sense, light-touch regulatory approach. Key provisions of the bill include:

1. Granting users of generative AI technology the right to know when they are interacting with an AI system.
2. Clarifying that liability for an AI system's actions rests, by default, with the person controlling the AI.
3. Creating the Office of Artificial Intelligence Policy to develop innovative regulatory solutions and pave the way for new, AI-powered business models.

[1] State of Utah. SB 149. 2024 General Session. https://le.utah.gov/~2024/bills/static/SB0149.html

Utah's SB 149 not only positioned the state as a leader in AI policy but also set a precedent for the nation. The American Legislative Exchange Council (ALEC) adopted it as the basis for their Model State Artificial Intelligence Act.[2] Unlike heavy-handed regulatory approaches seen elsewhere, SB 149 fosters AI development through regulatory flexibility, stakeholder collaboration, and innovation-friendly policies that promote economic growth.

The Learning Lab - The Office of Artificial Intelligence Policy operates a Learning Lab, which serves as a research and policy incubator. Through this initiative, we establish learning agendas to analyze key AI policy challenges and make data-driven recommendations to the state legislature.

Utah's regulatory mitigation program - To effectively foster AI development while ensuring responsible deployment, we use regulatory mitigation agreements with companies. These agreements provide tailored regulatory relief under state law, offering flexibility for companies as they create, train, and deploy AI systems. In the first few months of our office's operation, we have seen several successes in assisting the development of innovative AI solutions in Utah. Two examples follow.

Case study 1: AI and mental health ElizaChat is a company that developed an AI chatbot to help support teenagers with common mental health-related concerns. Utilizing our office's regulatory mitigation program, the company has begun beta testing this chatbot in situations where existing law may consider this a violation of occupational licensing laws, but where it is possible that AI could have a transformative impact. ElizaChat's business model would be much riskier without the regulatory relief program.

Case study 2: AI in the classroom Utah law requires extensive vetting of educational materials before they can be used in public school classrooms. Applications of generative AI are hard to "vet" in the traditional sense, so working with the Utah State Board of Education, we developed a permissive approach to classroom AI applications so long as the software is tested and parents are able to engage in the software. This has empowered districts to deploy new software solutions with less red tape.

II. Our proposal: a state-federal partnership for AI policy

Potential for synergy - While our office has taken proactive steps to foster AI development, many key aspects of AI policy, such as financial services law, health data privacy, and

[2] American Legislative Exchange Council. ALEC Policy Champions. Dec. 2024. https://alec.org/article/alec-policy-champions-utah-sen-kirk-cullimore-and-rep-jefferson-moss-lead-the-way-on-state-artificial-intelligence-legislation/

educational uses, remain at least partially federally preempted. This limits our ability to provide regulatory certainty to AI developers and hinders innovation at the state level.

By leveraging state-level innovation, policymakers can "divide and conquer" on AI policy challenges, refining best practices at the local level while ensuring national progress remains cohesive, collaborative, and forward-thinking.

Proposed collaboration - To address this problem, we propose the following initiatives:

1. **Federally recognized AI regulatory sandboxes:** Establish a framework that encourages states to create regulatory sandboxes, like Utah's, with federal collaboration. This would permit AI companies to pilot innovative applications with temporary exemptions from conflicting federal and state requirements.
2. **State-Federal AI policy coordination:** Develop a structured mechanism for regular collaboration between state AI offices and federal agencies to share data, express industry concerns, and request temporary waivers in federally preempted areas to implement experimental state AI policies while remaining aligned with national AI leadership objectives.

By implementing these measures, the federal government can leverage state efforts to accelerate AI policy innovation while ensuring AI regulations remain flexible, adaptive, and globally competitive.

Examples of potential state-federal sandbox coordination

Case study 1: Financial AI innovation States could pilot AI-driven underwriting models for credit and lending, experimenting with alternative data sources–such as rental and utility payment history–to improve access to credit. These trials would operate under federal consumer protection sandboxing standards, ensuring transparency and fairness while allowing states to assess AI's impact on financial stability and risk assessment.

Case study 2: Education AI pilots Universities could implement AI-driven personalized learning systems that adapt coursework in real-time based on student performance and engagement. These state-led pilots would be conducted in combination with federal student data privacy sandboxing, ensuring that AI does not compromise educational equity or improperly use sensitive student data, while still enabling states to evaluate AI's role in enhancing learning outcomes.

Case study 3: Privacy and transparency States could experiment with different explainability standards for AI-driven decisions in areas like hiring, healthcare, and consumer services. By testing varied approaches to algorithmic transparency, states could help refine best practices for ensuring that AI-driven outcomes are understandable to consumers and regulators–while operating within a federal sandbox framework for disclosure requirements that prevents deceptive or unfair practices.

III. Conclusion

America's AI future depends on a policy approach that is agile, collaborative, and forward thinking–one that fosters technological innovations, promotes economic competitiveness, and ensures the nation stays at the forefront of AI-driven progress. A structured state-federal AI partnership would enable real-world policy testing at the state level while ensuring the U.S. remains competitive, adaptive, and forward-thinking. By leveraging state-led experimentation within a national framework, policymakers can foster responsible AI development, protect the public, and maintain U.S. leadership in AI innovation.